

Banking on MFs for Wealth Creation

Retail investors, on a journey of wealth creation, have taken to investing in mutual funds of all hues—equity, debt, and hybrid



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MUTUAL FUNDS, OR MFs, have become ubiquitous vehicles of choice for investors across the economic spectrum looking to achieve their financial goals. In the past decade, and more so in the post-Covid period, retail investors have taken to MFs of all hues—equity, debt, and hybrid—in their journey towards wealth creation. As we analyse the phenomenal growth of the ₹61.16-lakh crore industry in recent years, many interesting trends and facets emerge. They also indicate where the industry is headed in the coming decades.

Mutual funds are now steadily catching up with the fixed deposits of banks in terms of assets garnered. An expanding systematic investment plan (SIP) book that is effectively helping domestic institutional investors (DIIs) in cushioning against foreign institutional investor (FII) selling, rapid growth in assets from smaller cities, and a rising share of assets under management (AUM) outside the Top 10 players are key trends.

The one key aspect that the industry may have to work on is to improve upon the relatively short holding period of retail investors in equity funds. Here are key factors propelling the MF industry and the opportunities that lie ahead:

Phenomenal wealth creation journey: The MF AUM has grown at a spectacular compound annual growth rate (CAGR) of 20% over both five-year and 10-year periods till June 2024, and stands at ₹61.16 lakh crore—₹45.35 lakh crore of equity-oriented AUM and ₹15.81 lakh crore of debt-oriented AUM.

There as many as 46.9 million unique investor accounts and a total of 89.9 million SIP accounts as of June 2024. SIP AUM alone is now worth ₹12.44 lakh crore, up 57% in the last one year. In fact, the SIP AUM has grown at a staggering annual rate of 35% in the past five years. The SIP book now accounts for 28.7% of the overall AUM of the industry.

For perspective, one of the most preferred financial products of most retail investors—fixed deposits in banks—grew only at an annual rate of 11% over the past five years. MF AUM to bank deposits has risen from 10.7% as of March 2014 to 28.7% as of June 2024, an increase of 2.7x in a little over 10 years.

Rising markets and low interest rates on deposits (of banks) are clearly shifting investor preferences

ILLUSTRATION BY RAJ VERMA